

Vardhan Precision Castings Private Limited

Annual report for the financial year 2024-25 (extract)

Fictional company created for a benchmark. All names, figures and events in this document are invented.

Corporate information

Vardhan Precision Castings Private Limited ("the Company") is a private limited company incorporated in 2004 with its registered office at Rajkot, Gujarat. Its shares are not listed on any stock exchange. The Company produces investment castings for pumps, valves and auto components. The directors of the Company are Harsh Vardhan Shah (Managing Director), Nisha Shah (Director), Imran Patel (Director).

Directors' report (extract) for the year ended 31 March 2025

Financial performance

Revenue from operations for the year was Rs. 5,124.60 lakhs against Rs. 4,702.35 lakhs in the previous year, and the profit for the year was Rs. 360.31 lakhs against Rs. 307.06 lakhs. The Board does not recommend a dividend.

Disclosure of interest by directors (Form MBP-1)

The directors have disclosed the following interests in other entities:

Director	Entity	Nature of interest
Harsh Vardhan Shah	Vardhan Engineering Works	Partner
Nisha Shah	Shah Alloys LLP	Designated partner
Imran Patel	Saurashtra Pumps Private Limited	Director

Particulars of contracts or arrangements with related parties (Section 188)

The purchase of a vacuum casting line from Vardhan Engineering Works for Rs. 352.80 lakhs exceeded the threshold in Rule 15 of the Companies (Meetings of Board and its Powers) Rules, 2014. It was approved by the Board on 30 July 2024 and by the members by special resolution at the extraordinary general meeting held on 20 August 2024, and the particulars are given in Form AOC-2 annexed to this report. All other related party transactions were in the ordinary course of business and on an arm's length basis.

Internal financial controls

The Company has documented policies for purchases and payments. Any single payment above Rs. 100,000 requires the approval of two directors. The Board considers the internal financial controls to be adequate and operating effectively.

Deposits

The Company has not accepted any deposits from the public within the meaning of Chapter V of the Companies Act, 2013. During the year the Company did not accept any loan or deposit in cash; all borrowings were received through banking channels.

Balance Sheet as at 31 March 2025

(All amounts in Rs. lakhs)

Particulars	Note	31 Mar 2025	31 Mar 2024
Equity share capital	4	600.00	600.00
Other equity	5	2,500.91	2,140.60
Long-term borrowings	6	850.00	920.00
Short-term borrowings	6	410.20	385.40
Trade payables	7	620.45	571.30
Other current liabilities	8	188.30	176.45
Total equity and liabilities		5,169.86	4,793.75
Property, plant and equipment	3	2,440.80	2,105.60
Inventories	9	702.35	648.90
Trade receivables	10	915.60	842.25
Cash and cash equivalents	11	204.10	190.35
Other current assets	12	907.01	1,006.65
Total assets		5,169.86	4,793.75

Statement of Profit and Loss for the year ended 31 March 2025

(All amounts in Rs. lakhs)

Particulars	Note	FY 2024-25	FY 2023-24
Revenue from operations	20	5,124.60	4,702.35
Other income	21	51.30	47.10
Total income		5,175.90	4,749.45
Cost of materials consumed	22	3,105.40	2,842.75
Employee benefits expense	23	688.20	640.35
Finance costs	24	142.75	151.20
Depreciation and amortisation expense	3	236.40	221.85
Other expenses	25	521.65	482.95
Total expenses		4,694.40	4,339.10
Profit before tax		481.50	410.35
Tax expense	26	121.19	103.29
Profit for the year		360.31	307.06

Notes to the financial statements (selected)

Note 1: Significant accounting policies

The financial statements are prepared on a going concern basis under the historical cost convention and the accrual basis of accounting, and comply with the Accounting Standards notified under Section 133 of the Companies Act, 2013. All amounts are in Rs. lakhs unless stated otherwise.

Note 3: Property, plant and equipment

Additions to plant and machinery include a vacuum casting line purchased from Vardhan Engineering Works for Rs. 352.80 lakhs.

Note 6: Borrowings

Long-term borrowings are term loans from scheduled banks secured by plant and machinery. Short-term borrowings are cash credit facilities secured by inventories and receivables.

Note 25: Other expenses

(All amounts in Rs. lakhs)

Particulars	FY 2024-25	FY 2023-24
Power and fuel	187.79	173.86
Rent	13.32	12.72
Repairs and maintenance	62.60	57.95
Freight and forwarding	67.81	62.78
Legal and professional fees	20.87	19.32
Travelling and conveyance	20.87	19.32
Insurance	15.65	14.49
Security charges	8.40	7.80
Miscellaneous expenses	124.34	114.71
Total	521.65	482.95

1. Repairs and maintenance include Rs. 3.24 lakhs paid to Vardhan Engineering Works (see Note 27).

Note 27: Related party disclosures (AS 18)

Names of related parties and nature of relationship:

- Harsh Vardhan Shah: Managing Director (key managerial personnel)
- Nisha Shah: Director; wife of the Managing Director
- Vardhan Engineering Works: Firm in which a director is a partner
- Shah Alloys LLP: Entity in which a director is a designated partner

Transactions with related parties (All amounts in Rs. lakhs):

Related party	Relationship	Nature of transaction	FY 2024-25	FY 2023-24
Harsh Vardhan Shah	Managing Director (key managerial personnel)	Managerial remuneration	60.00	54.00
Nisha Shah	Director	Remuneration	24.00	21.00
Vardhan Engineering Works	Firm in which a director is a partner	Purchase of machinery	352.80	–
Vardhan Engineering Works	Firm in which a director is a partner	Repairs and maintenance services	3.24	2.80
Shah Alloys LLP	Entity in which a director is a designated partner	Purchase of raw materials	214.35	198.10

Note 28: Contingent liabilities

Claims against the Company not acknowledged as debts: Nil (previous year: Nil).

Independent Auditor's Report

To the Members of Vardhan Precision Castings Private Limited

Report on the audit of the financial statements

Opinion. We have audited the financial statements of Vardhan Precision Castings Private Limited ("the Company"), which comprise the Balance Sheet as at 31 March 2025, the Statement of Profit and Loss for the year then ended and notes to the financial statements, including a summary of significant accounting policies. In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India of the state of affairs of the Company as at 31 March 2025 and its profit for the year ended on that date.

Basis for opinion. We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India, and we believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Report on other legal and regulatory requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government in terms of Section 143(11) of the Act, we give in Annexure A a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, we report that: (a) we have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit; (b) in our opinion, proper books of account as required by law have been kept by the Company; (c) the Balance Sheet and the Statement of Profit and Loss dealt with by this report are in agreement with the books of account; (d) in our opinion, the financial statements comply with the Accounting Standards specified under Section 133 of the Act; (e) none of the directors is disqualified under Section 164(2) of the Act; (f) the Company has adequate internal financial controls with reference to financial statements and they were operating effectively; (g) the

Company has no pending litigations which would impact its financial position.

For Tapi Assurance LLP, Chartered Accountants

Jignesh Mehta, Partner

Place: Ahmedabad

Date: 22 August 2025

Annexure A to the Independent Auditor's Report (Companies (Auditor's Report) Order, 2020)

(i) The Company maintains proper records of property, plant and equipment, which were physically verified by management during the year.

(ii) Inventories were physically verified by management at reasonable intervals and no material discrepancies were noticed.

(iii) The Company has not granted any loans or advances to companies, firms or other parties.

(v) The Company has not accepted deposits from the public.

(vii) The Company has been regular in depositing undisputed statutory dues, including goods and services tax, provident fund and income tax, with the appropriate authorities.

(ix) The Company has not defaulted in the repayment of loans or borrowings to any lender.

(xi) No fraud by the Company or on the Company has been noticed or reported during the year.

(xiii) Transactions with related parties are in compliance with Section 188 of the Act where applicable, and the details have been disclosed in the financial statements as required by the applicable Accounting Standards.